

		With respect to the reasonableness of the hours, the Court also finds little support for Defendant’s contention that Plaintiff’s entries appear to be impermissibly duplicative or inconsistent with counsel’s claims, or unreasonably increased by Plaintiff’s counsel’s “gamesmanship.” However, after reviewing the time entries, the Court agrees there was a limited amount of duplication and inefficiency created by having multiple attorneys work on discrete tasks. Consequently, a reduction of \$1,187 is warranted. After this reduction, the Court finds Plaintiff reasonably incurred \$23,245.50 in attorneys’ fees. The Court declines to award Plaintiff a multiplier. The party seeking a fee enhancement bears the burden of showing why an enhancement is appropriate. (<i>Ketchum v. Moses</i>, <i>supra</i>, 24 Cal.4th at p. 1138.) The Court is not persuaded that Plaintiff’s requested enhancement is warranted for the prosecution of this action. For the foregoing reasons, the Court awards Plaintiff a total of \$23,245.50 in reasonable attorneys’ fees. <u>Order to Show Cause re: Dismissal on Settled Case</u> Unless counsel for either party appears at the hearing and objects, the Court will dismiss this matter without prejudice. Plaintiff shall give notice of each of the foregoing rulings.
106	2025-01504753 Schneider-Kidan vs. Estate of Leonard Tierney	1. Demurrer to Amended Complaint 2. Motion for Leave to File Amended Complaint 3. Motion for Leave to Intervene 4. Motion to Quash Service of Summons 5. Motion to Quash Service of Summons 6. Motion to Quash Service of Summons 7. Motion to Quash Service of Summons 8. Case Management Conference Plaintiff Tracy Lynn Schneider-Kidan’s motion for leave to file her proposed second amended complaint (“SAC”) is granted. [ROA #262.] Defendant Partners-Personnel Management, Inc.’s demurrer to Plaintiff’s first amended complaint (“FAC”) is moot. [ROA #98.] Proposed Intervenor Adam Kidan’s motion to intervene is denied. [ROA #190.] Defendant Madison Resource Funding, LLC’s motion to quash service of summons and complaint on it is granted. [ROA #84.] Defendant Tyler Tierney’s motion to quash service of summons and complaint on him is granted. [ROA #103.] The motion of defendant Estate of Leonard Tierney, by and through executory Mary Teirney, to quash service of summons and complaint is continued to 11/16/26. [ROA #157.] Defendant NESC Staffing, LLC’s motion to quash service is granted. [ROA #170.] Defendant Chartwell’s request for judicial notice are granted. [ROA ## 281, 283.] Facts

On September 9, 2025, Plaintiff Tracy Lynn Schneider-Kidan filed her first amended complaint (“FAC”) against Defendants Estate of Leonard Tierney, Richard Chipman, StaffInvest Holdings, LLC, Chartwell Staffing Services, Inc., Madison Resource Funding, LLC, Coast to Coast Staffing, LLC, NESC Staffing Corp., NESC Staffing LLC, Jack Madden, Partners Personnel Management Services, Inc., Tyler Tierney, Jonathon Tierney, Madison Resource Funding Corp., a/k/a Madison Resource Funding, LLC, and CSS Operating Corp., alleging causes of action for (1) Breach of Fiduciary Duty, (2) Fraud and Misrepresentation, (3) Conversion, (4) Declaratory Relief, and (5) Accounting and Constructive Trust.

Plaintiff alleges a hostile takeover of Plaintiff’s interest in Chartwell Staffing Services, Inc. Plaintiff alleges that Defendants Leonard Tierney, Richard Chipman, StaffInvest Holdings, and Madison Resource Funding Corp. and their affiliates coerced Plaintiff into signing corporate restructuring documents of extreme personal and financial distress, denied Plaintiff access to the books and records of Chartwell and its subsidiary CSS Operating Corp., and diverted assets to affiliated entities including Madison, NESC, NESC, LLC, StaffInvest, Coast-to-Coast Staffing, and the Leonard Tierney Irrevocable Trust and Estate.

This case was found related to the earlier filed case of *Adam R. Kidan v. Chartwell Staffing Services, Inc.*, et al., Orange County Superior Court Case No. 30-2021-01186369-CU-BC-CJC, (the “Kidan action”) on 4/22/26. [ROA #252.]

Both cases involve the alleged hostile takeover of Chartwell by Madison. Madison was Chartwell’s primary funder and business partner. According to Plaintiff here and Kidan in the Kidan action, after the shareholders of Chartwell (that is, Kidan and Schneider-Kidan) filed for divorce, Madison seized on the opportunity to destabilize Chartwell’s business and orchestrate a takeover.

In 2021, Kidan brought the Kidan action directly to challenge Madison’s acquisition of Chartwell, and derivatively to remedy the harm to Chartwell caused by Madison in the process through its breaches of contract and self-dealing. [See Kidan action third amended complaint (“Kidan TAC” – ROA # 1133).] Kidan sued, at least, Madison, Coast to Coast, Leonard Tierney, Chipman, Lilley Madison, and Lilly. [*Id.*] Chartwell is a nominal defendant. [*Id.*]

Plaintiff’s Motion for Leave to File Proposed Second Amended Complaint (“SAC”)
Legal Standard

The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. Code Civ. Proc. § 473(a)(1). The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. Code of Civ. Proc. § 473(a)(1). Additionally, any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order. Code of Civ. Proc. § 576.

Ordinarily, the court does not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. *Kittredge Sports Co. v. Superior Court (Marker, U.S.A.)* (1989) 213 Cal.App.3d 1045, 1048; Cal. Prac. Guide, *Civil Procedure before trial* (Rutter) 6:644. Grounds for demurrer or motion to strike are premature. *Id.* After leave to amend is granted, the opposing party will have the opportunity to attack the validity of the

amended pleading. *Id.* See *Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 760 (“[W]e believe that the better course of action would have been to allow Atkinson to amend the complaint and then let the parties test its legal sufficiency in other appropriate proceedings”) (citing *Kittredge*).

A motion to amend a pleading before trial must: (1) include a copy of the proposed amendment or amended pleading; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, by page, paragraph, and line number, the additional allegations are located. CRC 3.1324(a). A separate declaration must accompany the motion and must specify: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. CRC 3.1324(b).

California courts generally allow great liberality, at all stages of the proceeding, in permitting the amendment of pleadings in order to resolve cases on their merits. *IMO Development Corp. v. Dow Corning* (1982) 135 Cal.App.3d 451, 461. This liberality only applies so long as there is no prejudice to the opposing party. *Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564. Denial of leave to amend is appropriate where inexcusable delay and probable prejudice to the opposing party is shown. This may happen where a proposed amendment opens up an entirely new field of inquiry without any satisfactory explanation as to why the major change in point of attack had not been made long before trial. *Estate of Murphy v. Gulf Ins. Co.* (1978) 82 Cal.App.3d 304, 311.

If the party seeking the amendment has been dilatory, and the delay has prejudiced the opposing party, the judge has discretion to deny leave to amend. *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490; *Melican v. Regents of Univ. of Calif.* (2007) 151 Cal.App.4th 168, 176; *Fisher v. Larsen* (1982) 138 Cal.App.3d 627, 649.

As a general rule, the additional time and money of conducting non-duplicative discovery is not considered prejudice unless discovery has already closed and/or trial is set to begin:

Where the trial date is set, the jury is about to be impaneled, counsel, the parties, the trial court, and the witnesses have blocked the time, and the only way to avoid prejudice to the opposing party is to continue the trial date to allow further discovery, refusal of leave to amend cannot be an abuse of discretion.

Magpali v. Farmers Group, Inc. (1996) 47 Cal.App.4th 1024, 488.

Discussion

Plaintiff has essentially complied with the procedural requirements of California Rule of Court 3.1324. She has submitted the proposed second amended complaint. [England Decl. (ROA #256), Ex. A.] Plaintiff’s counsel explains “Plaintiff’s proposed second amended complaint is a comprehensive statement of her claims and the factual allegations behind them, and is brought to help clarify the overlap with the related proceeding. Because the proposed amendment is so comprehensive, a redline showing the changes is of no practical use and therefore is not attached.” [*Id.*, ¶ 3.]

Plaintiff, formerly a self-represented litigant, now has counsel and understandably seeks to present her claims as a lawyer can craft them. This is ground enough to allow amendment

given the liberal policy for amendments.

Defendant Chartwell makes a number of substantive arguments that go to the merits of Plaintiff's claims. These arguments rely on facts and issues in dispute that can only be resolved through further litigation. Statute of limitations and standing are not issues generally appropriate to decide on the pleadings and they are not clear enough on the current record so as to justify denial of amendment on that basis.

No party has asserted cognizable prejudice as a result of the proposed amendment.

Accordingly, Plaintiff's motion for leave to file her proposed SAC is granted. Defendant Partners-Personnel Management, Inc.'s demurrer to her FAC is therefore moot.

Adam Kidan's Motion to Intervene

Legal Standard

Intervention is governed by Code of Civil Procedure section 387. Subdivision (a) of section 387 states in relevant part, "[u]pon timely application, any person, who has an interest in the matter in litigation, or in the success of either of the parties, or an interest against both, may intervene in the action or proceeding."

Intervention is mandatory (as of right) or permissive.

Mandatory intervention applies if (1) a provision of law confers an unconditional right to intervene or (2) the person seeking intervention claims an interest relating to the property or transaction that is the subject of the action and that person is so situated that the disposition of the action may impair or impede that person's ability to protect that interest, unless that person's interest is adequately represented by one or more of the existing parties. Code Civ. Proc. §387(d)(1).

Permissive intervention applies where:

- 1) the intervenor has a direct interest in the litigation;
 - 2) intervention will not enlarge the issues raised by the original parties, and
 - 3) the reasons for intervention outweigh any opposition by the existing parties.
- Code Civ. Proc. § 387(d)(2); *Truck Ins. Exch. v. Superior Court* (1997) 60 Cal.App.4th 342, 346.

A motion or application for leave to intervene must include a copy of the proposed complaint or answer in intervention. Code Civ. Proc. § 387(c). *See Sutter Health Uninsured Pricing Cases* (2009) 171 Cal.App.4th 495, 513 (affirming denial of leave to intervene where proposed intervenor did not submit proposed complaint in intervention).

Discussion

With his motion to intervene, Kidan submitted a proposed motion to stay but no proposed complaint or answer in intervention. [Robinson Decl. (ROA #190), ¶ 2 and Ex. 1.]

A nonparty shall petition the court for leave to intervene by noticed motion or ex parte application. The petition shall include a copy of the proposed complaint in intervention or answer in intervention and set forth the grounds upon which intervention rests.

Code Civ. Proc. § 387(c).

Stowers failed to adhere to this procedural rule by preparing a complaint in intervention, therefore the trial court properly denied his motion. (See *Tokio Marine & Fire Ins. Corp. v. Western Pacific Roofing Corp.* (1999) 75 Cal.App.4th 110, 120, 89 Cal.Rptr.2d 1 [“**fundamental prerequisite**” is the filing of a complaint in intervention which is then served on parties]; *Muller v. Robinson* (1961) 193 Cal.App.2d 835, 837–838, 14 Cal.Rptr. 693 [where “appellant did not file his proposed complaint in intervention” trial court was justified in denying the motion to intervene].)

Sutter Health Uninsured Pricing Cases (2009) 171 Cal.App.4th 495, 513 (bold added).

Kidan has failed to comply with the procedural requirements for intervention by failing to submit a proposed complaint (or answer) in intervention. His motion to intervene is therefore denied.

Motions to Quash for Improper Service

The grounds for the motions to quash by Madison Resource Funding and NESC Staffing are improper service. [ROA ## 84, 170.]

Legal Standard

A motion to quash service of summons and complaint under Code Civ. Proc. § 418.10 is the proper method to challenge inadequate and ineffective service of a summons and complaint. Code Civ. Proc. § 418.10(a)(1); Weil & Brown, *Cal. Prac. Guide*, Civ. Proc. before Trial (Rutter 2012) § 4:413.

Upon such a motion, it is the plaintiff’s burden of proof to establish facts showing effective service. *Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413; *Dill v. Berquist* (1994) 24 Cal.App.4th 1426, 1439-1440.

Discussion

NESC’s motion is unopposed. As for Madison Resource’s motion to quash, for the reasons previously express by the Court, the Court declines to consider the omnibus opposition and supplemental oppositions {ROA # 141, 163} filed by Plaintiff. [See ROA ##187, 227, 230.]

In the absence of a factually and evidentiarily supported opposition, Plaintiff has not met her burden of proof.

Accordingly, NESC’s and Madison Resource’s motions to quash are granted.

Motions to Quash for Insufficient Minimum Contacts

Tyler Tierney and the Estate of Leonard Tierney each move to quash on the ground Leonard and Tyler do not have sufficient minimum contacts with California for the court to exercise personal jurisdiction over them. [ROA ## 103, 157.]

A motion to quash service of summons and complaint under Code Civ. Proc. § 418.10 is the proper method to challenge the court’s over the defendant. Code Civ. Proc. § 418.10(a)(1); Weil & Brown, *Cal. Prac. Guide*, Civ. Proc. before Trial (Rutter 2012) § 4:413. This includes lack of jurisdiction due to ineffective service *and* for insufficient minimum contacts. Weil & Brown, *Cal. Prac. Guide*, Civ. Proc. before Trial (Rutter 2024) §§ 3:165, 4:411; *Mannesmann DeMag, Ltd. v. Superior Court* (1985) 172 Cal.App.3d 1118, 1124; *Roy v. Superior Court* (2005) 127 Cal.App.4th 337, 345.

Legal Standard

A nonresident defendant may not be called upon to defend in a foreign forum unless he or she has minimal contacts with that state to exercise power over that party. *See, Hanson v. Denckla* (1958) 357 U.S. 235, 251.

A nonresident defendant has a liberty interest in not being subject to the judgments of a forum with which he or she has established no meaningful minimum contacts. *See Vons Companies Inc. v. Seabest Foods, Inc.* (1996) 14 Cal. 4th 434, 445, citing *Burger King Corp. v. Rudzewicz* (1985) 471 U.S. 462, 471 to 472.

The plaintiff bears the burden of proving that a nonresident defendant has sufficient contacts with the forum state to support personal jurisdiction. *See, Aquila, Inc. v. Superior Court* (2007) 148 Cal. App. 4th 556, 570. The plaintiff must demonstrate by a preponderance of the evidence that all jurisdictional requirements are met. *Ziller Electronics Lab GmbH v. Superior Court* (1988) 206 Cal. App. 3d 1222, 1232. If the plaintiff establishes that the defendant has minimum contacts with the forum state, the burden shifts to the defendant to demonstrate that the exercise of jurisdiction would be unreasonable. *Stone v. Texas* (1999) 76 Cal. App. 4th 1043, 1048.

In conjunction with the rules regarding a plaintiff's "initial" burden of proof, it has also been stated that the moving defendant has some burden to present evidence of the fact of no minimum contacts in order effectively to raise the question of personal jurisdiction. *School Dist. of Okaloosa County v. Superior Court* (1997) 58 Cal.App.4th 1126, 1131. *See also Factor Health Management v. Superior Court* (2005) 132 Cal.App.4th 246, 250 ("A motion to quash under section 418.10 must be supported by evidence on the issue of the defendant's contacts with the state. (*School Dist. Of Okaloosa County v. Superior Court* (1997) 58 Cal.App.4th 1126, 1131, 68 Cal.Rptr.2d 612.)").

In any event, to meet his burden, the plaintiff must demonstrate by a preponderance of the evidence that all jurisdictional requirements are met. *Ziller Electronics Lab GmbH v. Superior Court* (1988) 206 Cal.App.3d 1222, 1232. This must be done with declarations that offer more than vague assertions of ultimate facts; the declarations must offer specific evidentiary facts permitting a court to form an independent conclusion on the issue of jurisdiction. *In re Automobile Antitrust Cases I and II* (2005) 135 Cal.App.4th 100, 110.

If the plaintiff establishes that the defendant has minimum contacts with the forum state, the burden shifts to the defendant to demonstrate that the exercise of jurisdiction would be unreasonable. *Stone v. Texas* (1999) 76 Cal. App. 4th 1043, 1048.

Jurisdictional facts must be proved by competent evidence – that is, declarations by competent witnesses. *Evangelize China Fellowship, Inc. v. Evangelize China Fellowship* (1983) 146 Cal.App.3d 440, 444. If the parties' declarations conflict on the jurisdictional fact, the court decides whom to believe. *Id.* Unverified pleadings have no evidentiary value in determining personal jurisdiction but can be relevant to determination of the cause of action and whether it arises out of the defendant's alleged local activities. *Mihlon v. Superior Court* (1985) 169 Cal.App.3d 703, 710.

Personal jurisdiction may be general or specific.

A nonresident defendant may be subject to general jurisdiction if his or her contacts with the forum are substantial, continuous and systematic. *Id.*, at 445, citing *Perkins v. Benguet Mining Co.* (1952) 342 U.S. 437, 445.

Apart from general jurisdiction, a nonresident defendant may be subject to specific

jurisdiction if: (1) the defendant has purposefully availed himself or herself of forum benefits, and (2) the controversy is related to or arises out of the defendant's contacts with the forum. *See, Vons*, at 446, citing *Burger King Corp. v. Rudzewicz* (1985) 471 U.S. 462, 472-73. The assertion of jurisdiction over the defendant must also be reasonable – that is, comport with fair play and substantial justice. *Id.* at 477-78. Discussing *Burger King*, the California Supreme Court in *Vons* explained that a state may exercise specific jurisdiction over a nonresident who purposefully avails himself or herself of the forum's benefits because the state has a manifest interest in providing its residents with a forum for redressing injuries inflicted by out-of-state actors, and where individuals derive economic benefit from interstate activities it would be unfair to allow them to escape having to account in other states for the consequences that arise from such activities. *See Vons*, at 447. The *Vons* court further noted that modern transportation and communications makes defending in another state a much less burdensome proposition today. *Id.*

Discussion

For his motion, Tyler Tierney declares he is a resident of New Hampshire and does not reside in California, own property in California, or pay taxes in California. He is employed by Madison Resource Funding, LLC ("Madison"), which is a New Hampshire LLC with a principle place of business in New Hampshire. He was first employed by Madison in 2019 and worked (and continues to work) in sales. Tyler Tierney further declares that he had no involvement in any transaction, dealings or agreement alleged by Plaintiff. He did not become a Manager of Madison until 2025. And, though, he became a Director of Chartwell Staffing Services, Inc. ("Chartwell") in 2025, he had no involvement with Chartwell prior to that time. To his knowledge, he has never met, spoken with, or otherwise interacted or communicated with the Plaintiff, whether in California or elsewhere. [Tyler Tierney Decl. (ROA #103), ¶¶ 2-6.]

Again, the Court declines to consider Plaintiff's omnibus opposition or supplemental opposition. In any event, Plaintiff has not presented admissible evidence of California contacts.

In the absence of any evidentiary showing of other connections between Tyler and California, or acts by Tyler directed at California, Plaintiff has not met her burden of proof. Accordingly, Tyler Tierney's motion to quash is granted.

The Estate of Leonard Tierney has renewed Leonard's motion to quash in the Kidan action. [Kidan Action ROA #1202.] That motion is set for hearing on 11/16/26. The motion to quash in this action is continued to 11/16/26 to be heard together with the motion in the Kidan action.

The case management conference is continued to November 16, 2026 at 2:00 p.m. in Department C27.

Plaintiff is ordered to give notice of all of the foregoing rulings.